

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

A CUSTOMS BROKERAGE, INC., *Claimant*

v.

CARGOCARE LOGISTICS USA, INC. AND CARGOCARE
LOGISTICS AMERICA, INC., *Respondents*.

DOCKET NO. 1987(I)

Served: July 17, 2023

BEFORE: Theresa DIKE, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION AND SUMMARY OF DECISION

Claimant A Customs Brokerage, Inc. (“ACB”) initiated this proceeding by filing an informal complaint against Respondents Cargocare Logistics USA, Inc. and Cargocare Logistics America, Inc. (collectively “Cargocare”) with the Federal Maritime Commission (“FMC” or “Commission”), alleging that Cargocare violated 46 C.F.R. § 515.23 in connection with the delivery of its cargo from Cochin, India to Miami, Florida. Respondent Cargocare Logistics USA, Inc. (“Cargocare USA”) failed to respond or participate in this proceeding.

A. Background and Procedural History

ACB, a customs broker, paid ocean freight to Cargocare USA on behalf of its client, Brian Trading Co., LLC (“Brian Trading”), for cargo shipped through Cargocare Logistics (India) PVT. Ltd. (“Cargocare India”), a registered non-vessel-operator (“NVOCC”), based in India. Cargocare USA, had been Cargocare India’s delivery agent for previous Brian Trading shipments; however, Cargocare Logistics America, Inc. (“Cargocare America”) was the designated delivery agent for the shipments this time, not Cargocare USA. Cargocare India, Cargocare America, and Cargocare USA share common ownership and management. The 80% owner and director of Cargocare USA, Sue Lao, is the sister of the 80% owner and director of Cargocare America, Chase Lao. Chase Lao also worked at Cargocare USA and was still an employee there when she formed Cargocare America, and both sisters live at the same residential address. Both Cargocare America and Cargocare USA are California State corporations with identical mailing addresses listed for Chase and Sue Lao. The owner and chairman of Cargocare

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

India, Joy Varghese Pareckattil, is the 20% owner and the second of the two directors of Cargocare USA and Cargocare America.

Cargocare America declined to release the shipments to Claimant on the basis that Cargocare USA was the wrong vendor for the ocean freight payments and that Claimant's payment had not been received by Cargocare America. Claimant was forced to pay duplicate ocean freight to Cargocare America to obtain the shipments and to avoid accrual of demurrage on them. When its efforts to obtain a refund of the duplicate payments from Cargocare failed, Claimant filed a complaint with the Commission, seeking reparations for the payments.

On December 28, 2022, the Commission issued a Notice of Filing of Small Claims Complaint and Assignment, instructing Respondents Cargocare to file a response to the complaint by January 23, 2023, and to indicate whether they consented to the use of the Commission's informal procedures at Subpart S for adjudication of the complaint. The Commission also assigned this proceeding to the Chief Administrative Law Judge ("Chief ALJ") to designate a small claims officer ("SCO") to adjudicate the proceeding. On January 23, 2023, Respondent Cargocare America filed a response to the complaint and consented to the use of the informal procedures. However, no response was received from Respondent Cargocare USA. On January 25, 2023, another copy of the Informal Complaint and Notice of Assignment was emailed to Cargocare USA using its email on file with the Commission and it was instructed to file a response by February 20, 2023. The Chief ALJ assigned this proceeding to the undersigned for adjudication on January 31, 2023.

Pursuant to 46 C.F.R. § 502.301(a) and (e) of the Commission's Rules, which authorize the SCO in a Subpart S proceeding to, if deemed necessary, request additional documents or information from the parties, on February 23, 2023, an order was issued directing the parties to submit any discovery requests that would aid them in establishing their claims and defenses, and directing Respondent Cargocare USA to file a response and participate in the proceeding otherwise a default judgment could be issued against it. Claimant and Cargocare America submitted discovery requests in response to the Order, but no response was received from Cargocare USA.

On April 12, 2023, an Order to Submit Answer to Complaint ("Order to File Answer") was sent by UPS to Cargocare USA through its director and designated FMC contact person, Lam (Sue) Lao. The UPS tracking information shows that the package containing the Order to File Answer was delivered on April 12, 2023, and signed for by Lao. On April 28, 2023, an Order to Submit Supplemental Information ("Order for Supplemental Information") was issued, directing the parties to provide certain information and documents by May 12, 2023, and permitting any party wishing to file a response to the opposing party's submission to do so by May 19, 2023. Claimant and Cargocare America submitted a response to the Order for Supplemental Information on May 15, 2023. Again, no response was received from Cargocare USA. Neither party submitted a reply to each other's response. The record is now complete.

As discussed in greater detail below, a default judgment is entered against Respondent Cargocare USA. In addition, it is found that Respondents violated section 41102(c) by forcing Claimant to pay double ocean freight to obtain its shipments, and that Respondents are jointly

and severally liable to Claimant for its damages. Claimant is awarded a refund of the duplicate payments as reparations.

B. Argument of the Parties

Claimant states that it paid ocean freight to Cargocare USA for three shipments through PayCargo, an ocean freight payment platform, on behalf of Brian Trading, as it had always done in the past. According to Claimant, Cargocare USA had recently changed its name to Cargocare America, and when Claimant tried to collect its shipments Cargocare America denied that it received the payments and claimed not to know Cargocare USA, insisting that Claimant pay ocean freight again to it to obtain the shipments. Complaint, pg. 1. Claimant contends that “[a]lthough there is common management and ownership of [both respondents] they are not willing to refund payments made erroneously to Cargocare Logistics USA, Inc.” Complaint at 1. It states that Cargocare USA ignored its requests for refund of the duplicate freight payments and neither paid the freight to the common carrier that transported the shipment nor refunded the payment. Complaint pg. 1.

Claimant explains that it also attempted to obtain a refund through PayCargo, which in turn requested a refund from Cargocare USA but Cargocare USA did not respond to PayCargo’s communications. Claimant’s Supplemental Info. (“C. Supp. Info”) pgs. 1-2 at no. 5. Claimant states: “We attempted to amicably resolve the matter but without response, and facing demurrage charges, we made the duplicate payment to release the shipments and avoid demurrage.” Complaint at 1. In addition, Claimant filed a claim with Cargocare America’s bond company for a refund of the duplicate payments, but its claim was denied. Claimant Second Supplemental Info (“C. 2nd Supp. Info.”) pg. 1. Claimant seeks reparations in the amount of \$20,970 to cover the duplicate freight payments it made to Cargocare America. Complaint pgs. 1 and 3.

Respondent Cargocare America denies that it changed its name from Cargocare USA to Cargocare America. Responding on behalf of Cargocare America, its vice president and FMC contact, Chase Sut Lin Lao (“Chase Lao”), asserts:

Cargocare Logistics America Inc. did not change name. I applied for the FMC license under my name, Chase Sut Lin Lao. I used my credit cards to pay for the expenses to start the company, including but not limited to incorporation, FMC Application, FMC Bond, Business License, computer, excel license, etc. I also borrowed money from my father to maintain the cash flow in the beginning of the business.

Answer pg. 1. Cargocare America avers that it “clearly specified (in bold red font) their payment options and information in all documents” it sent to Claimant, but Claimant nevertheless set up the PayCargo payment to the wrong vendor (Cargocare USA), which kept the funds that were erroneously sent to them. Answer pg. 2. It asserts:

The Claimant alleges in his Small Claim Form, Paragraph V. that quote: ‘Cargocare Logistics America Inc. claims not [to] know the other company and requests payment again...’ end quote. When in fact, The Company informed the Claimant that they have made payment to the wrong vendor, and to request a

refund from PayCargo. The Company provided Lam Lao [vice president of Cargocare USA]’s personal email to PayCargo . . .

Furthermore, The Company was injured by Cargocare Logistics USA Inc. Creditors of Cargocare Logistics USA Inc. have been and continues to harass The Company. Cargocare has kept the funds that were erroneously sent to them for a number of shipments.

Answer pg. 2.

Chase Lao states that she processed the shipments in question and did not refuse to release the shipments. According to her, upon notification from Claimant that it paid the freight charges to Cargocare USA she “informed the Claimant that when remitting payment on the Paycargo Platform we are registered under: ‘Cargocare Logistics America Incorporated,’ and for him to cancel the payment with PayCargo,” and upon receipt of Claimant’s second payment processed the freight release the same day. R. Supp. Info Ex. H, at nos. 2-4. She opines that it “is not a crime for businesses to have [a] similar name.” R. Supp. Info. Ex. H, at no. 6.

II. PERTINENT FACTS ESTABLISHED BY THE RECORD (“PF”)

1. Claimant ACB is a customs broker located in Doral, Florida. Complaint pg. 14.
2. ACB has power of attorney to transact international transportation and customs business on behalf of Brian Trading, the importer of the cargo at issue. Complaint pg. 1 at ¶ III A.
3. Respondent Cargocare America is an FMC- licensed NVOCC (organization and license number 028643). Answer pg. 1; www2.fmc.gov/oti/NVOCC.aspx.
4. I take official notice that Sut Lin (Chase) Lao (“Chase Lao”), who owns an 80 percent share of Cargocare America, is one of its two directors, and its vice-president, secretary, chief financial officer, and designated FMC contact person. <https://home-fmcgov.msapproxy.net/rpi/Organization.aspx>.
5. Cargocare America’s address on file with the FMC is listed as 145 E Live Oak Avenue, Suite C, Arcadia, CA 91006, but its mailing address is listed as 7702 Fern Avenue, Rosemead, CA 91770. <https://home-fmcgov.msapproxy.net/rpi/Organization.aspx>.
6. Chase Lao resides at 7702 Fern Avenue, Rosemead, CA 91770. Answer pg. 1.
7. I take official notice that Respondent Cargocare USA was formerly an FMC-licensed NVOCC (organization and license number 023053). Cargocare USA’s NVOCC bond coverage was terminated effective October 27, 2021, and its NVOCC license was subsequently cancelled. <https://home-fmcgov.msapproxy.net/rpi/Organization.aspx>.
8. I take official notice that Lam (Sue) Lao (“Sue Lao”), who owns an 80 percent share of Cargocare USA, is one of its two directors, secretary, treasurer, chief financial officer, and FMC contact. <https://home-fmcgov.msapproxy.net/rpi/Organization.aspx>.

9. Cargocare USA's address on file with the FMC is listed as 7771 Garvey Avenue, Rosemead, CA 91770. <https://home-fmcgov.msappproxy.net/rpi/Organization.aspx>.
10. Sue Lao resides at 7702 Fern Avenue, Rosemead, CA 91770. Answer pg. 1.
11. Chase Lao and Sue Lao are sisters. Answer pg. 1.
12. Chase Lao was employed at Cargocare USA from June 6, 2011, to December 30, 2020. R. Supp. Info. pg. 1, at no. 2; R. Supp. Info. Ex. E, at pgs. 1-2.
13. Chase Lao incorporated Cargocare America in September 2020. R. Supp. Ex. E, at pgs. 1-2.
14. Chase Lao operated Cargocare America during some of the period she worked for Cargocare USA. R. Supp. Info. pg. 1 at no. 2; R. Supp. Ex. E, at pgs. 1-2.
15. I take official notice that Cargocare America and Cargocare USA are California State corporations, in Active status, and both companies' mailing addresses are listed by the California Secretary of State as 7702 Fern Avenue, Rosemead, CA 91770. In addition, Cargocare America's principal address is listed as 7702 Fern Avenue, Rosemead, CA 91770. Cargocare America's agent address is listed as: "Individual, Chase Sut Lin Lao, 7702 Fern Avenue, Rosemead, CA 91770." Cargocare USA's agent address is listed as "Individual, Lam D Lao, 7702 Fern Avenue, Rosemead, CA 91170." <https://bizfileonline.sos.ca.gov/search/business>.
16. Cargocare USA's principal address is listed with the California Secretary of State as 7771 Garvey Avenue, Rosemead, CA 91770. <https://bizfileonline.sos.ca.gov/search/business>.
17. Cargocare India issued three multimodal transport bills of lading for the three shipments at issue. Complaint Ex. at pg. 8.
18. Cargocare India is a registered NVOCC (organization number 020216) based in Mumbai, India. <https://home-fmcgov.msappproxy.net/rpi/Organization.aspx>.
19. Joy Varghese Pareckattil is Cargocare India's Chairman, owner, and FMC contact. Complaint Ex. Pg. 5; <https://home-fmcgov.msappproxy.net/rpi/Organization.aspx> ; R. Supp. Info. Ex. E, at pg. 107.
20. Joy Varghese Pareckattil is also the president and one of the two directors of Cargocare America and Cargocare USA and owns a 20 percent share of both Cargocare America and Cargocare USA. <https://home-fmcgov.msappproxy.net/rpi/Organization.aspx>; R. Supp. Info. pgs. 1 – 2 at nos. 3, 4, 9; R. Supp. Info. Ex. E, at pg. 111.
21. Joy Varghese Pareckattil is the signatory for Cargocare America's FMC-18 application for NVOCC license and signed the FMC-18 form and certifications in the application on behalf of Cargocare America. R. Supp. Info. Ex. E, at pg. 114.

22. Claimant usually handles the ocean freight payment and customs processing of the shipments imported by Brian Trading. Complaint pg. 1, at ¶ III A.
23. Until the events in dispute, Claimant regularly dealt with Cargocare USA when it advanced ocean freight payment and took delivery of Brian Trading's shipments. Complaint pg. 1, at ¶ III A.
24. Brian Trading arranged with Cargocare India to transport the shipments in question from Cochin, India to Miami, Florida by ocean transportation. C Supp. Info. pg. 1, at no. 1.
25. Cargocare India's bills of lading for the shipments, numbered CCLCOK190250, CCLCOK190251, and CCLCOK190255 respectively, list United Coir Factories as the consignor, Brian Trading as the consignee, Claimant ACB as the notify party, Cochin, India as the place of acceptance, Miami, Florida as the port of discharge, and the cargo as 40' high cube container nos. CAIU8547969, HLXU8508860 and UACU5812832, respectively, containing door mats. In addition, the bills of lading list Cargocare America as Cargocare India's delivery agent, address: 7702 Fern Avenue, Rosemead, CA 91770, USA. Complaint Ex. at pg. 8.
26. As Cargocare India's delivery agent Cargocare America processed the shipments at issue upon their arrival at the destination port. Complaint Ex. at pg. 8; R. Supp. Ex. H, at no. 2.
27. On October 1, 2021, Cargocare America sent arrival notices for the shipment to ACB. In pertinent part, the email containing the arrival notices stated in red font. "**Please remit payment to the new company: Cargocare Logistics America Inc.** Paycargo: Cargocare Logistics America Incorporated." Answer Ex. A, at pg. 4; Ex. B, at pg. 9; and Ex. C, at pg. 14.
28. In the arrival notices, Cargocare America listed its company address as "7771 Garvey Avenue, Rosemead, CA 91770," the same address Cargocare USA listed as its company address. Complaint Ex., at pg. 7; C. Supp. Info. Ex. 2 and 3; Answer Ex. A.
29. On October 4, 2021, Claimant paid Cargocare India's ocean freight charges for the three shipments to Cargocare USA through PayCargo. Complaint Ex., at pgs. 6, 9, and 12.
30. Chase Lao of Cargocare America states:

On October 11, 2021, I received Paycargo Receipts from the Claimant, it was made to the vendor "Cargocare Logistics USA." Subsequently, I informed the Claimant that when remitting payment on the Paycargo Platform, we are registered under vendor: "Cargocare Logistics America Incorporated," and for him to cancel the payment with Paycargo.

R. Supp. Info. Ex. H, at no. 3.
31. Cargocare America refused to release the shipments unless Claimant paid ocean freight directly to it, stating: "Pending payment. Please cancel your payment cargo payment [sic]"

and resend it to: PayCargo & CargoSprint: Cargocare Logistics America Incorporated.” Complaint pg. 1, at ¶ V; Answer Ex. D, at pg. 20; R. Supp. Info. Ex. H, at no. 3.

32. On October 12, 2021, Claimant made three duplicate ocean freight payments totaling \$20,970, through PayCargo for its three containers shipped by Cargocare India, with Cargocare America as the beneficiary. Complaint pg. 1, at ¶ V; Answer Ex. D, at pg. 19.
33. Claimant was unable to obtain a refund of the duplicate payments from Respondents despite efforts by PayCargo to obtain a refund for Claimant. Complaint pg. 1, at ¶ V; Answer Ex. D, at pg. 22 – 26.
34. Other shippers who paid Cargocare USA through PayCargo for ocean freight owed to Cargocare India were similarly denied release of their shipments by Cargocare America on the basis that they had paid the wrong vendor, forcing them to make a second payment. *See, e.g.*, Answer Ex. E, at pg. 28 (email from Chase Lao to Sue Lao dated September 8, 2021, re: bill of lading no. CCLBOM212209, stating: “Hi Sis . . . can you help ask Paycargo to remove CCL USA vendor account? So many people sending payment to CCL USA and coming back to me! This guy is asking for refund.”); Answer Ex. E, at pg.38 (email from Chase Lao to Sue Lao dated September 17, 2021, stating in pertinent part: “another customer paid CCL USA . . . all asking me to refund before they pay CCL America again . . . please help!”); R. Supp. Ex. G, Text 02 at pg. 6 (payment in the amount of \$6,243.06 by Pro Source to Cargocare USA (at pg. 8, Sue Lao purportedly sends a text message to Chase Lao stating: “Bank of America cleared all my info out. Please get me Prosource acct info and PayCargo acct info.”))
35. The duplicate ocean freight paid by these shippers were never refunded to them. *See, e.g.*, Answer Ex. E, at pg. 28 (email from Keith to Chase Lao re: bill of lading no. CCLBOM212209, stating: “I took care of this on 8/31. There is a person at your company that is notified when Paycargo payments are made. Please find out who it is. Also, please see the attached. I am trying to get a refund from the other company. Can you please put me in contact with someone there? I have not heard back from Sue”); Answer, Ex. D, at pgs. 23-27 (Record of unsuccessful attempts by PayCargo to obtain refund of Claimant’s duplicate payment.).
36. Cargocare America instructed Claimant to make another payment to it and cancel its payment to Cargocare USA even though it knew from experience that Claimant would not be able to cancel the payment and Cargocare USA would not refund the payment. *See, e.g.*, Answer Ex. E, at pg. 28, above; Answer Ex. E, at pg. 38, above; Answer Ex. E, at pgs. 38-39 (email from Yovin Udagadera of Apex Logistics International (NY) to Chase Lao, dated September 17, 2021, stating: Please see attached email. PayCargo is working with us to process the refund for our original payment – please assist with requirements on your end. The email to Sue at CargoCare didn’t go through so please get the appropriate party in copy. I have added you to the aforementioned email chain.”).
37. The ocean freight payments were deposited into a Cargocare USA account at Bank of America. *See, e.g.*, R. Supp. Ex. G, Text 01 at pg. 3 – 7; R. Supp. Ex. G, Text 02 at pg. 4-5 (text message purportedly from Chase Lao to Sue Lao, responding to a screen shot of a

deposit into Cargocare USA's Bank of America account, stating: "This is stupid pro source."). *See also* R. Supp. Ex. G, Text 02 at pg. 6 (screenshot of a deposit by Pro Source in the amount of \$6,243.06 on January 11, 2023, into Cargocare Logistics USA's Bank of America account.).

38. Claimant filed a claim for refund of the duplicate payment with Cargocare America's bond provider, but its claim was denied on the basis that the claim "is not a covered claim." C. Supp. Ex. 7.

III. DISCUSSION

Pro se Claimant alleges that Respondents violated 46 C.F.R. § 515.23. That section of the Commission's Regulations describes how to pursue claims against ocean transportation intermediaries. Claimant was asked to specify a valid Shipping Act claim but in response, identified 46 U.S.C §§ 40902(b)(3) (which provides that a bond shall be available to pay any judgment for damages against an ocean transportation intermediary) and 41104(a)(4)(E) (which forbids common carriers to engage in any unfair or unjustly discriminatory practice in the matter of adjustment and settlement of claims). *See* email from Claimant to SCO dated 7/5/2023, with Respondents Cargocare copied.

It is well settled that the courts are to liberally construe *pro se* pleadings. Moreover, the Court's instruction has been construed to apply to all filings by a *pro se* litigant, not just to the pleadings alone . . . Consistent with the court's treatment of *pro se* litigants and pleadings, administrative agencies like this Commission have tended . . . to be more lenient even than courts in such matters.

Verucchi Motorcycles, LLC v. Senator Int'l Ocean, LLC, FMC Docket No. 06-05, 2008 WL 2019109, at *2 (FMC May 7, 2008) (internal citations and quotation marks omitted).

For the reasons discussed below, it is found that a violation of 46 U.S.C § 41102(c) occurred.

A. Controlling Authority

Respondents are NVOCCs. "The term 'ocean transportation intermediary' means an ocean freight forwarder or a non-vessel-operating common carrier." 46 U.S.C. § 40102(20). An NVOCC is "a common carrier that does not operate the vessels by which the ocean transportation is provided and is a shipper in its relationship with an ocean common carrier." 46 U.S.C. § 40102(17). A "common carrier" is a person that –

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and

- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country
.....

46 U.S.C. § 40102(7). The term “shipper” means –

- (A) a cargo owner;
- (B) the person for whose account the ocean transportation of cargo is provided;
- (C) the person to whom delivery is to be made;
- (D) a shippers’ association; or
- (E) a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract.

46 U.S.C. § 40102(23).

Section 41102(c) provides that “[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

To establish a successful claim for reparations under section 41102(c), the claimant must demonstrate that:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

B. Evidence and Burden of Proof

“In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order.” 46 C.F.R. § 502.203. Thus, a claimant alleging a violation of the Shipping Act bears the burden of proving its allegations against the respondent. The term, “burden of proof” is understood to mean “the burden of persuasion.” *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party bearing the burden of persuasion must prove its case by a preponderance of the evidence. *See Steadman v. SEC*, 450 U.S. 91, 102 (1981). When the party with the burden of persuasion produces sufficient evidence (characterized as a prima facie case), the burden of production

shifts to the other party to produce evidence rebutting that case. *In re South Carolina State Ports Auth. for Declaratory Order*, 27 S.R.R. 1137, 1161 (FMC 1997). *See also Steadman*, 450 U.S. at 101 (“Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted.”). When direct evidence is unavailable inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993) adopted in relevant part, 26 S.R.R. 1424, 1994 WL 279898 (FMC June 13, 1994). If the evidence produced by both parties is evenly balanced the party with the burden of persuasion will not prevail. *See Greenwich Collieries*, 512 U.S. at 281.

C. A Default Judgment is Entered Against Respondent Cargocare USA

When Cargocare USA failed to respond to the Commission’s December 28, 2022, Notice of Filing and Assignment (“Notice”), another copy of the Informal Complaint and Notice was emailed to Cargocare USA on January 25, 2023, using its email on file with the Commission and it was instructed to file a response to the Complaint by February 20, 2023. Again, Cargocare USA failed to respond. On February 23, 2023, an order was issued, which stated in pertinent part:

The Notice [of Filing and Assignment for the Proceeding] advised Respondent Cargocare that failure “to submit a timely response expressly refusing the informal procedure set forth in Rule 304 of Subpart S will be deemed, conclusively, to indicate consent to the informal procedure.” Notice at 1. Despite receipt of the delivery confirmation that the email containing the Notice and Complaint was successfully delivered to Respondent Cargocare USA, no response was received from Cargocare USA by the expiration of the deadline provided for its response. Cargocare USA is therefore deemed to have conclusively consented to the informal procedure. Accordingly, Respondent Cargocare USA is hereby cautioned that if it fails to respond to the complaint and to participate in this proceeding a default judgment may be issued against Cargocare USA awarding the requested reparations amount to Claimant.

Order to Submit Discovery Requests at 1-2. *See also* 46 C.F.R. § 502.304(e) (“Within twenty-five (25) days from the date of service of the claim, the respondent shall serve upon the claimant and file with the Commission its response to the claim, together with an indication . . . as to whether the informal procedure provided in this subpart is consented to. Failure of the respondent to indicate refusal or consent in its response will be conclusively deemed to indicate such consent.”).

On April 12, 2023, an Order to File Answer was sent by UPS to Respondent Cargocare USA through its director and FMC contact person, Lam (Sue) Lao. The UPS tracking information shows that the package was delivered on April 12, 2023, and signed for by Lao. The Order to File Answer stated in pertinent part:

Respondent is ordered for the final time to file a response to the Complaint as previously directed. Failure to file an answer by April 26, 2023, may result in a default decision against Respondent, including award of the reparation requested by Claimant and its attorney fees.

Order to File Answer at 1. Cargocare USA again failed to respond to that order.

Cargocare USA failed to participate in this proceeding despite receiving the Complaint and orders to respond to the Complaint as well as multiple warnings that failure to participate in this proceeding could result in a default judgment against it.

Although Rule 62(b)(6), which discusses the consequences of a respondent's failure to file an answer, is not applicable to Subpart S proceedings, the undersigned used the Rule as guidance. Rule 62(b)(6) provides:

Failure of a party to file an answer to a complaint...within the time provided will be deemed to constitute a waiver of that party's right to appear and contest the allegations of the complaint . . . to which it has not filed an answer and to authorize the presiding officer to enter an initial decision on default . . . Well pleaded factual allegations in the complaint not answered or addressed will be deemed to be admitted.

46 C.F.R. § 502.62.(b)(6). Accordingly, a default judgement is entered against Respondent Cargocare USA.

D. Claimant Establishes that Respondents Violated Section 41102(c)

Although Claimant's well pleaded *factual allegations* in the complaint are deemed to be admitted against Cargocare USA, Claimant nevertheless must prove that the alleged conduct by Respondents constitutes a Shipping Act violation and that it is entitled to recover reparations against Cargocare USA. "In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order." 46 C.F.R. § 502.203. The term, "burden of proof" is understood to mean "the burden of persuasion." *Director v. Greenwich Collieries*, 512 U.S. 267, 276 (1994). The party bearing the burden of persuasion must prove its case by a preponderance of the evidence. *See Steadman v. SEC*, 450 U.S. 91, 102 (1981). When direct evidence is unavailable inferences may be drawn from certain facts and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *Waterman S.S. Corp. v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993) adopted in relevant part, 26 S.R.R. 1424, 1994 WL 279898 (FMC June 13, 1994).

Section 41102(c) forbids a "a common carrier, marine terminal operator, or ocean transportation intermediary [to] fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." 46 C.F.R. § 41102(c). To succeed in a claim for reparations under section 41102(c), the claimant must show that: 1) the respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; 2) the alleged illegal conduct is "occurring on a

normal, customary, and continuous basis;" 3) the alleged practice or regulation relates to or is connected with receiving, handling, storing or delivering property; 4) the alleged practice or regulation is unjust or unreasonable; and, 5) the alleged practice or regulation in question is the proximate cause of the loss the claimant alleges it suffered. 46 C.F.R. § 545.4(d). All five elements must be demonstrated to recover reparations.

1. Respondents Are Ocean Transportation Intermediaries

Respondent Cargocare America is a licensed NVOCC. PFF 3. Respondent Cargocare USA's bond on file with the FMC was active and effective until October 27, 2021, thus it was a licensed NVOCC when the transportation in dispute occurred. The first ocean freight was paid into its account on October 4, 2021, and the duplicate ocean freight was paid to Cargocare America on October 14, 2021. PFFs 7, 29, and 32. The first element for a claim for reparations under section 41102(c) is thus demonstrated.

2. The Alleged Practice Relates to or is Connected with Receiving, Handling, Storing, or Delivering Property

The alleged conduct is related to the delivery of cargo Claimant's client shipped from India to Florida. Therefore, the element requiring that the practice at issue be relate to or connected with receiving, handling, storing, or delivering property is also satisfied.

3. Respondents' Conduct was Unjust and Unreasonable

Although Respondent Cargocare USA received payments from Claimant for the ocean freight owed to Cargocare India, it did not apply the payments towards the release of the shipments in question, forcing Claimant to make duplicate ocean freight payments to obtain release of the shipments. Further, Cargocare USA failed to refund the duplicate payments to Claimant and ignored its attempts to obtain a refund. The evidence thus shows that Cargocare USA acted unjustly and unreasonably.

As for Cargocare America, while it is an NVOCC able to ship cargo, in this case it acted solely as a delivery agent for Cargocare India for the shipments at issue. Because Cargocare India, not Cargocare America, provided transportation for the shipments, ocean freight due from Claimant for the shipments was owed to Cargocare India, not Cargocare America. The evidence shows that Cargocare India's chairman and owner, Joy Varghese Pareckattil, is also the president, director, and part owner of both Cargocare America and Cargocare USA, which had previously acted as Cargocare India's delivery agent for other shipments delivered to Claimant by Cargocare India. The evidence also shows that Cargocare USA and Cargocare America, owned by the Lao sisters and Joy Varghese Pareckattil, operated out of the same office locations – 7771 Garvey Avenue, Rosemead, CA 91770 and 7702 Fern Avenue, Rosemead, CA 91770. PFFs 5, 6, 9, 10, 15, 16, 25 and 8; Complaint Ex., at pg. 7; C. Supp. Info. Ex. 2 and 3; Answer Ex. A. Also, Chase Lao operated Cargocare America during some of the period she worked for Cargocare USA. PFF 14. *See also* R. Supp. Info. pg. 1, at no. 2; R. Supp. Info. Ex. E, at pgs. 1-2. All the NVOCCs involved in the delivery of Claimant's shipments in this case thus appear to have acted as one unit, with intertwined operations.

While contrary to Cargocare America's instructions, on October 4, 2021, Claimant paid the freight owed to Cargocare India through Cargocare USA rather than through Cargocare America, Cargocare India is found to have taken constructive possession of the payment since Cargocare USA and Cargocare India share a common management and ownership. Because Claimant had already paid ocean freight to Cargocare India, the transportation provider, Cargocare America acted unjustly and unreasonably when it forced Claimant to remit the second payment to it in order to obtain release of its shipments. Moreover, Cargocare America knew when it asked Claimant to remit the second ocean freight payment that Claimant had already paid the freight charges owed for the shipments and also knew from experience that Cargocare USA would not refund Claimant's duplicate payments. *See, e.g.*, PFF 34 (Answer Ex. E, at pg. 28 (email from Chase Lao to Sue Lao dated September 8, 2021, stating: "So many people sending payment to CCL USA and coming back to me!") and Answer Ex. E, at pg. 38 (email from Chase Lao to Sue Lao dated September 17, 2021, stating: "another customer paid CCL USA . . . all asking me to refund before they pay CCL America again.")); R. Supp. Info. Ex. G, Text 02 at pg. 6 (payment from Pro Source, whom Cargocare America referred to as "Stupid Pro Source" (PFF 37), in the amount of \$6,243.06 not refunded); PFF 35 (double payment from Keith for bill of lading no CCBOM212209, made on 8/31/2021, not refunded); PFF 36 (double payment from Apex Logistics on September 17, 2021, not refunded).

In the past, the Commission has found similar conduct to be unjust and unreasonable and a violation of section 41102(c). For instance, in *Total Fitness Equip.*, the Commission upheld the administrative law judge's finding that the respondent NVOCC had violated section 10(d)(1) (the predecessor to section 41102(c)) by forcing the shipper to pay twice for the same shipment. Dismissing the NVOCC's contention that it never received the first payment made by the claimant because the NVOCC's agent did not remit the claimant's payment, the Commission stated:

However, the Commission recently held that the existence of a dispute between an NVOCC and its agent does not excuse the NVOCC from discharging its obligations to its shipper-customer. The same rule can be said to apply here. That Worldlink was having problems with its Taiwanese agent (which eventually led to Worldlink's decision to terminate that agency-relationship) does not excuse Worldlink from taking constructive possession of money paid to the agent for a shipment.

Total Fitness Equip., Inc. v. Worldlink Logistics, Inc., FMC Docket No. 1831(F), 1998 WL 940255, at *11, 28 S.R.R. 296 (FMC Dec 10, 1998) (citing *Corpco Int'l Inc. v. Straightway Inc.*, 28 S.R.R. 296, 299-300 (1998)). Similarly, here, Cargocare India has constructive possession of Claimant's payment to Cargocare USA, with which it has an even closer relationship than in the case of the respondent in *Total Fitness* and its Taiwanese agent, given that Cargocare India and Cargocare USA share the same ownership and management. In light of the foregoing, Claimant demonstrates that Respondents' conduct was unjust and unreasonable, another element necessary for a successful claim under section 41102(c).

4. The Claimed Act Occurred on a Normal, Customary, and Continuous Basis

The foregoing evidence and discussion also demonstrate that the unjust and unreasonable conduct by Respondents occurred many times, with Cargocare USA receiving, but failing to apply the ocean freight payments it received from shippers, and Cargocare America forcing the shippers to make a double payment despite knowing that the shippers had already paid ocean freight to Cargocare India through Cargocare USA. *See, e.g.*, Answer pg. 2 (Respondent Cargocare America stating: “Cargocare Logistics USA Inc. has kept the funds that were erroneously sent to them for a number of shipments.”); PFF 34 (Answer Ex. E, at pg. 28 (email from Chase Lao to Sue Lao dated September 8, 2021, stating: “So many people sending payment to CCL USA and coming back to me!”) and Answer Ex. E, at pg. 38 (email from Chase Lao to Sue Lao dated September 17, 2021, stating: “another customer paid CCL USA . . . all asking me to refund before they pay CCL America again.”)); R. Supp. Info. Ex. G, Text 02, at pg. 6 (double payment from Pro Source in the amount of \$6,243.06 not refunded); PFF 35 (double payment from Keith for bill of lading no CCBOM212209, made on 8/31/2021, not refunded); PFF 36 (double payment from Apex Logistics on September 17, 2021, not refunded).

Because there is evidence that Respondents engaged in the illegal conduct discussed above on many other occasions, I find that there is ample evidence that the illegal conduct by Respondents was customary and continuous, and thus was a practice. *See, e.g., J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 420 (ALJ 1962) (stating that in order to constitute a practice the alleged act must involve a “series of such occurrences,” rather than “an isolated or one-shot occurrence.”). Accordingly, Claimant has demonstrated by a preponderance of the evidence that the illegal practice by Respondents occurred on a normal, customary, and continuous basis, another required element to establish a claim under section 41102(c).

5. The Practice by Respondents is the Proximate Cause of the Loss Suffered by Claimant

Claimant demonstrates that it incurred damages in the amount of \$20,970 (FF 36), the amount it seeks as reparations, because of the double payments it was forced to make to obtain its shipments due to Respondents’ conduct. Accordingly, the element requiring that the illegal practice by the respondent be the proximate cause of the loss suffered by the claimant is similarly demonstrated.

E. Reparations

Claimant is entitled to recover the \$20,970 in double payments it was forced to pay. Respondents Cargocare USA and Cargocare America are jointly and severally liable to Claimant in that amount. It is noted that although Cargocare USA is no longer an FMC-licensed NVOCC, its bond was active and on file with the Commission at the time the illegal conduct transpired. Therefore, assuming that the bond has not been depleted it should be available to pay the judgment against Cargocare USA if this initial decision becomes final. As an FMC-licensed NVOCC, Cargocare America’s bond should be active and available to pay judgments against it.

IV. CONCLUSION

The evidence supports a finding that Respondents Cargocare USA and Cargocare America violated section 41102(c) of the Shipping Act. Claimant is granted reparations in the amount of \$20,970, jointly, and severally against Respondents.

IV. ORDER

Upon consideration of the evidence of record, arguments of the parties, and the foregoing findings and conclusion that Respondents Cargocare USA and Cargocare America violated section 41102(c), and Claimant suffered actual injury in the amount of \$20,970 as a result, it is hereby

ORDERED that Claimant A Customs Brokerage, Inc.'s claim for reparations be **GRANTED**. It is

FURTHER ORDERED that Respondents Cargocare USA and Cargocare America pay reparations in the amount of \$20,970, jointly, and severally to Claimant A Customs Brokerage, Inc.



Theresa Dike
Small Claims Officer